

Chapter Two

Company and Marketing Strategy

Topic Outline

- Company-wide strategic planning
- Developing marketing strategies
- Marketing implementation
- Marketing control and evaluation

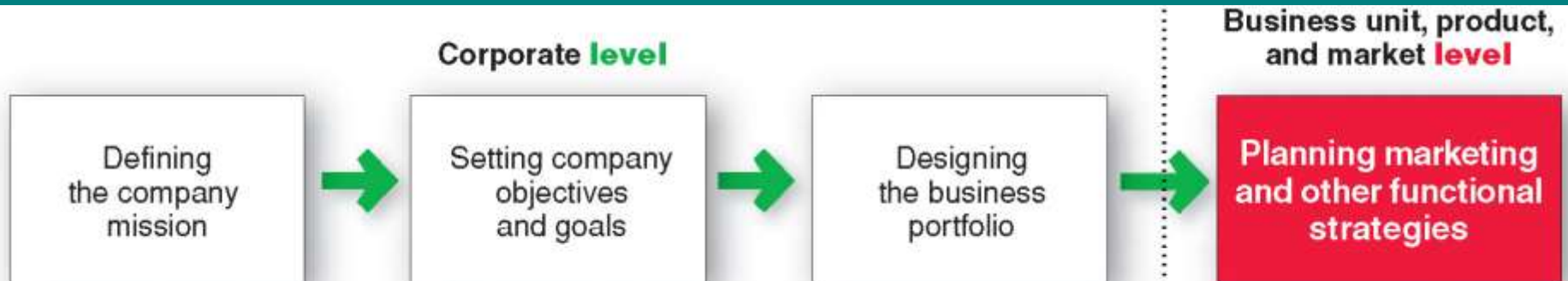
Companywide Strategic Planning

Strategic Planning

Strategic planning is the process of developing and maintaining a strategic fit between the organization's goals and capabilities and its changing marketing opportunities

Companywide Strategic Planning

Steps in Strategic Planning



Companywide Strategic Planning

Defining a Market-Oriented Mission

- The mission statement is the organization's purpose, what it wants to accomplish in the larger environment
- Market-oriented mission statement defines the business in terms of satisfying basic customer needs



*We help you organize the world's
information and make it
universally accessible and useful.*

Companywide Strategic Planning

Setting Company Objectives and Goals

Business objectives

- Build profitable customer relationships
- Invest in research
- Improve profits

Marketing objectives

- Increase market share
- Create local partnerships
- Increase promotion

Companywide Strategic Planning

Designing the Business Portfolio

The business portfolio is the collection of businesses and products that make up the company

Portfolio analysis is a major activity in strategic planning whereby management evaluates the products and businesses that make up the company

Companywide Strategic Planning

Analyzing the Current Business Portfolio

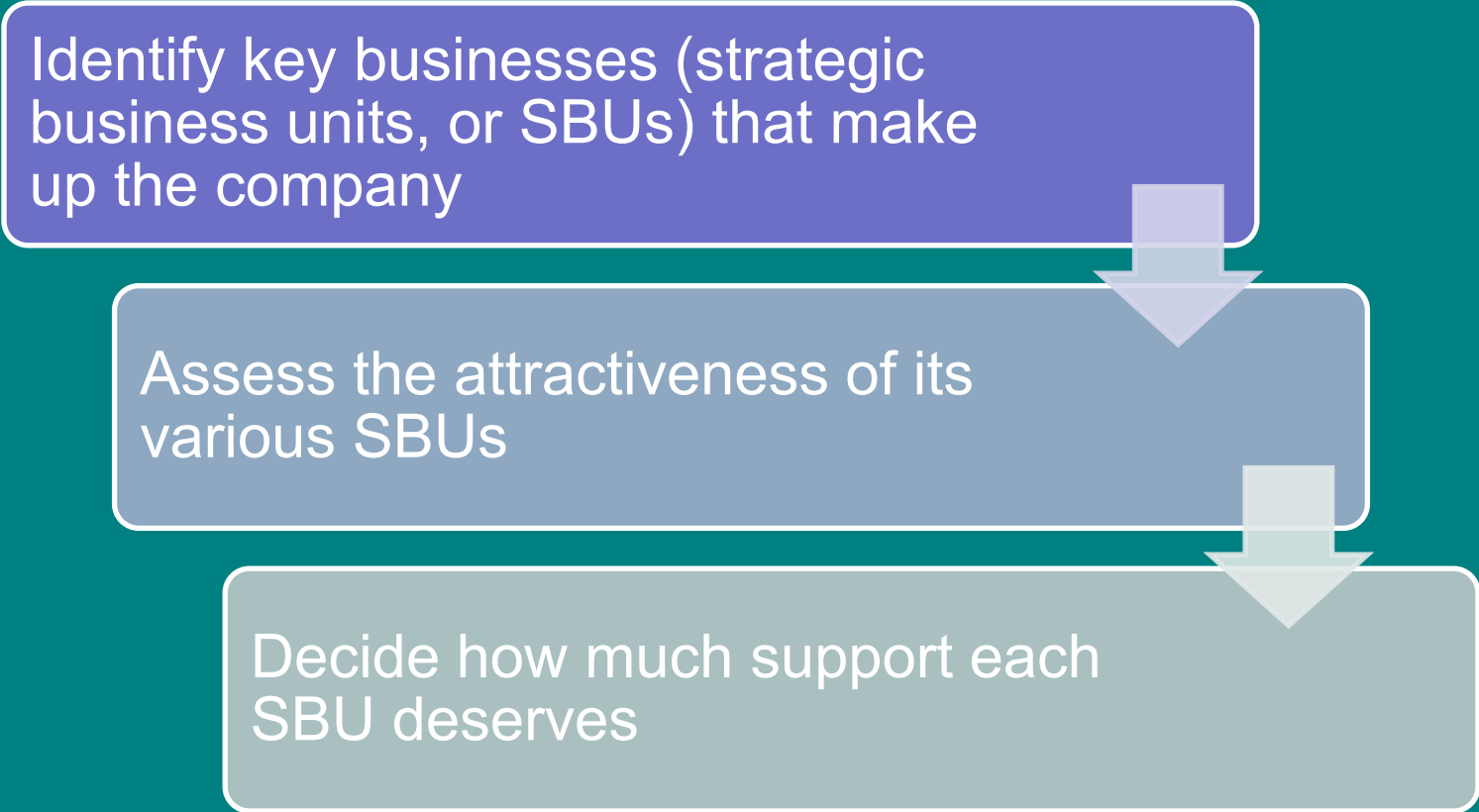
Strategic business units can be

- Company division
- Product line within a division
- Single product or brand

Companywide Strategic Planning

Analyzing the Current Business Portfolio

Identify key businesses (strategic business units, or SBUs) that make up the company

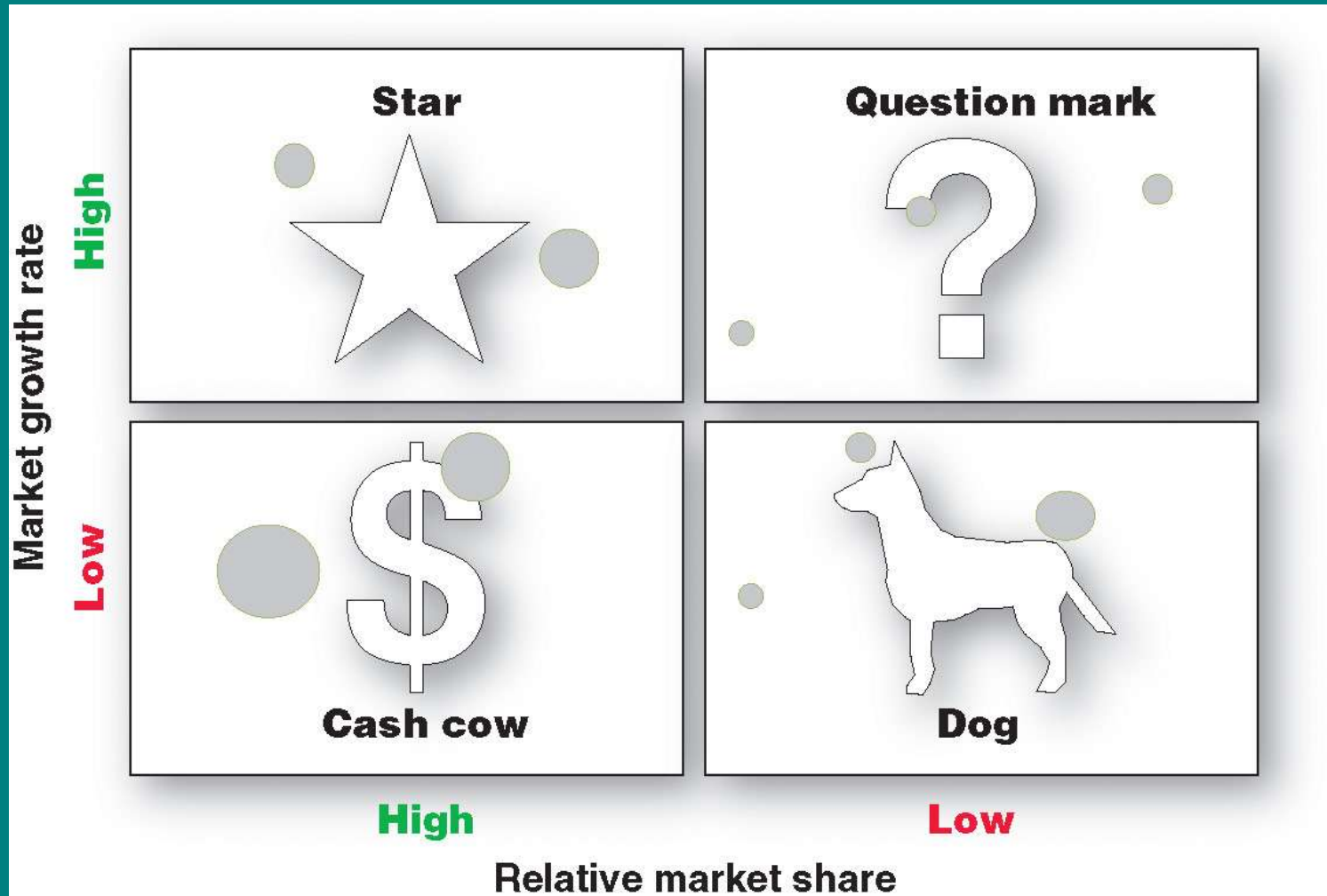


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graph TD; A[Identify key businesses (strategic business units, or SBUs) that make up the company] --> B[Assess the attractiveness of its various SBUs]; B --> C[Decide how much support each SBU deserves];
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Assess the attractiveness of its various SBUs

Decide how much support each SBU deserves

Companywide Strategic Planning:



Companywide Strategic Planning: Defining Marketing's Role

Analyzing the Current Business Portfolio The Boston Group Approach

- **Stars** are high-growth, high-share businesses or products requiring heavy investment to finance rapid growth. They will eventually turn into cash cows.
- **Cash cows** are low-growth, high-share businesses or products that are established and successful SBUs requiring less investment to maintain market share
- **Question marks** are low-share business units in high-growth markets requiring a lot of cash to hold their share
- **Dogs** are low-growth, low-share businesses and products that may generate enough cash to maintain themselves but do not promise to be large sources of cash

SMART objectives

- Once the mission statement is set, the marketing organisation needs to turn its mission into detailed supporting objectives for each level of management.
- Each manager should then have SMART objectives (also known as SMART goals) and be responsible for reaching them.

S: Specific

M: Measurable

A: Achievable / Attainable / Actionable

R: Relevant / Realistic

T: Time Bound / Timely / Time Based

Companywide Strategic Planning

Developing Strategies for Growth and Downsizing

Product/Market Expansion Grid

Looks at new products, existing products, new markets and existing markets for company growth opportunities

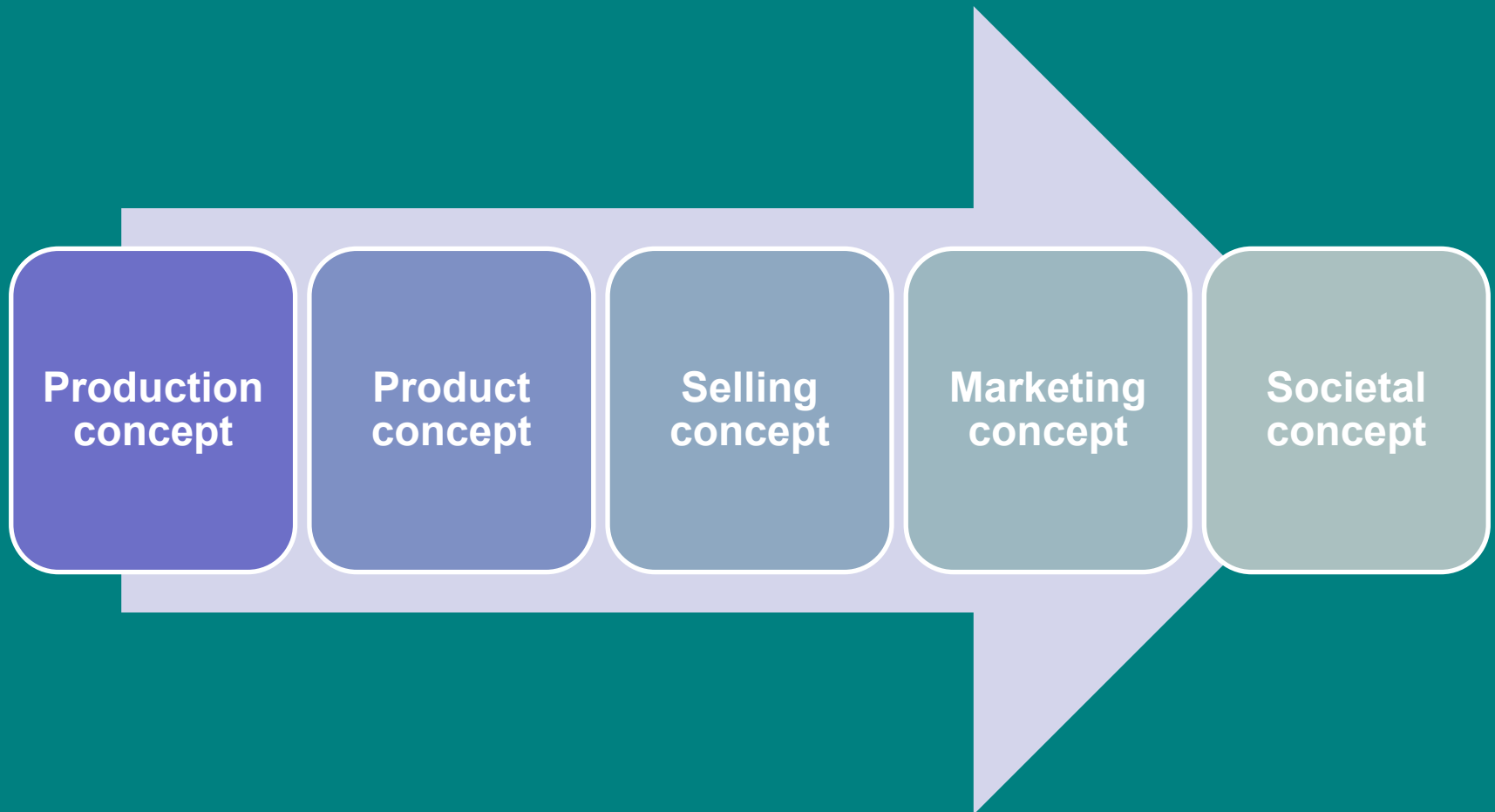


Identifying and developing strategies for growth:

	Present Product	New Product
Present market	Market Penetration: increasing market share among existing customers <i>i.e. McDonalds sells more Happy Meals with Disney movie promotions</i>	Product Development: creation of new products for current customers <i>i.e. McDonalds introduces premium salads or McBobaTea</i>
New Market	Market Development: attracting new customers to existing products <i>i.e. McDonalds opens new restaurants in China</i>	Diversification: increase sales by introducing new products into new markets <i>i.e. McDonalds introducing a line of children's clothing</i>

Customer value-driven marketing strategy

Marketing Management Orientations



Customer value-driven marketing strategy

Marketing Management Orientations

Production concept:

Consumers will favor products that are available and highly affordable

Customer value-driven marketing strategy

Marketing Management Orientations

Product concept:

Consumers favor products that offer
the most quality, performance, and features
Focus is on continuous product improvements

Customer value-driven marketing strategy

Marketing Management Orientations

Selling concept:

Consumers will not buy enough of the firm's products unless it undertakes a large scale selling and promotion effort

Customer value-driven marketing strategy

Marketing Management Orientations

Our Credo

We believe our first responsibility is to the doctors, nurses and patients,
to mothers and fathers and all others who use our products and services.
In meeting their needs everything we do must be of high quality.

We must constantly strive to reduce our costs
in order to maintain reasonable prices.

Customers' orders must be serviced promptly and accurately.
Our suppliers and distributors must have an opportunity
to make a fair profit.

We are responsible to our employees,
the men and women who work with us throughout the world.

Everyone must be considered as an individual.

We must respect their dignity and recognize their merit.
They must have a sense of security in their jobs.

Compensation must be fair and adequate,
and working conditions clean, orderly and safe.

We must be mindful of ways to help our employees fulfill
their family responsibilities.

Employees must feel free to make suggestions and complaints.
There must be equal opportunity for employment, development
and advancement for those qualified.

We must provide competent management,
and their actions must be just and ethical.

We are responsible to the communities in which we live and work
and to the world community as well.

We must be good citizens — support good works and charities
and bear our fair share of taxes.

We must encourage civic improvements and better health and education.

We must maintain in good order
the property we are privileged to use,
protecting the environment and natural resources.

Our final responsibility is to our stockholders.

Business must make a sound profit.

We must experiment with new ideas.

Research must be carried on, innovative programs developed
and mistakes paid for.

New equipment must be purchased, new facilities provided
and new products launched.

Reserves must be created to provide for adverse times.

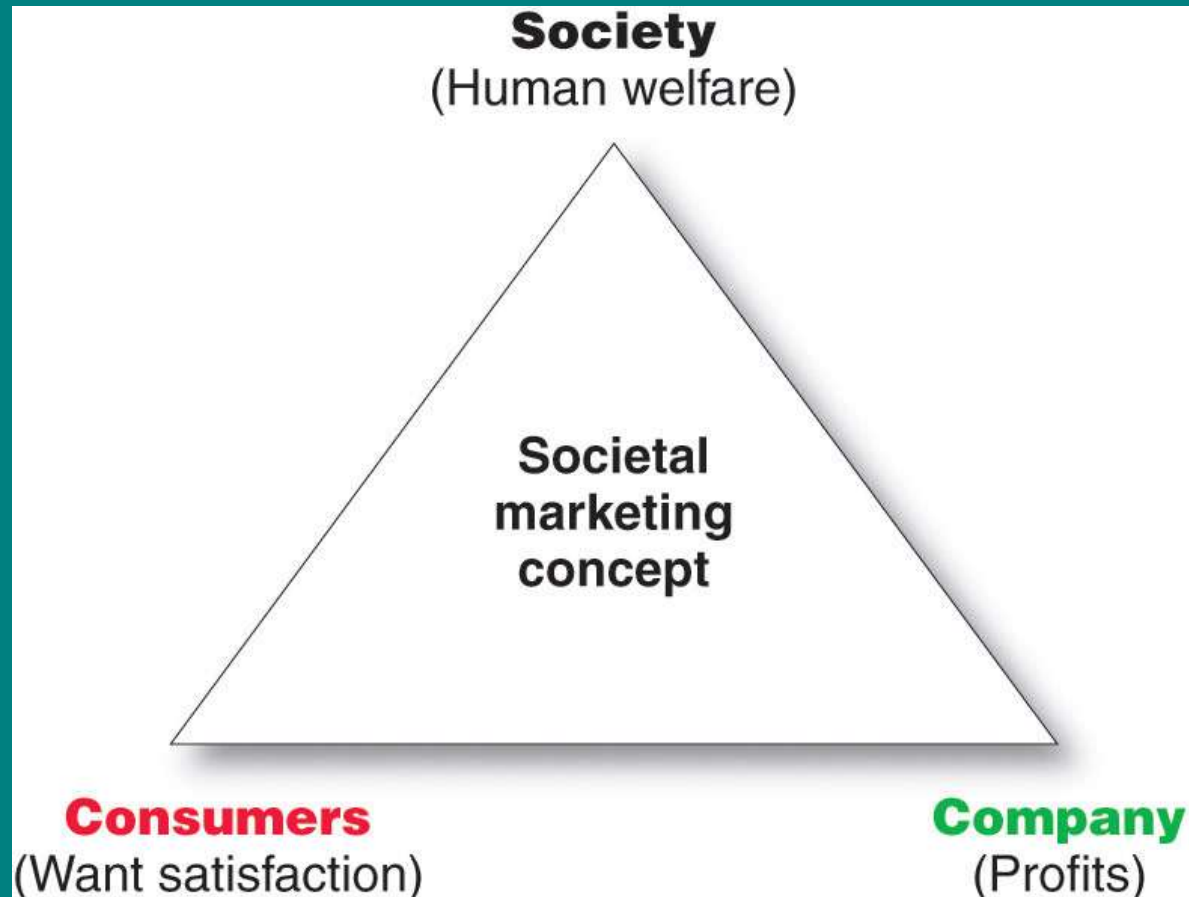
When we operate according to these principles,
the stockholders should realize a fair return.

Johnson & Johnson

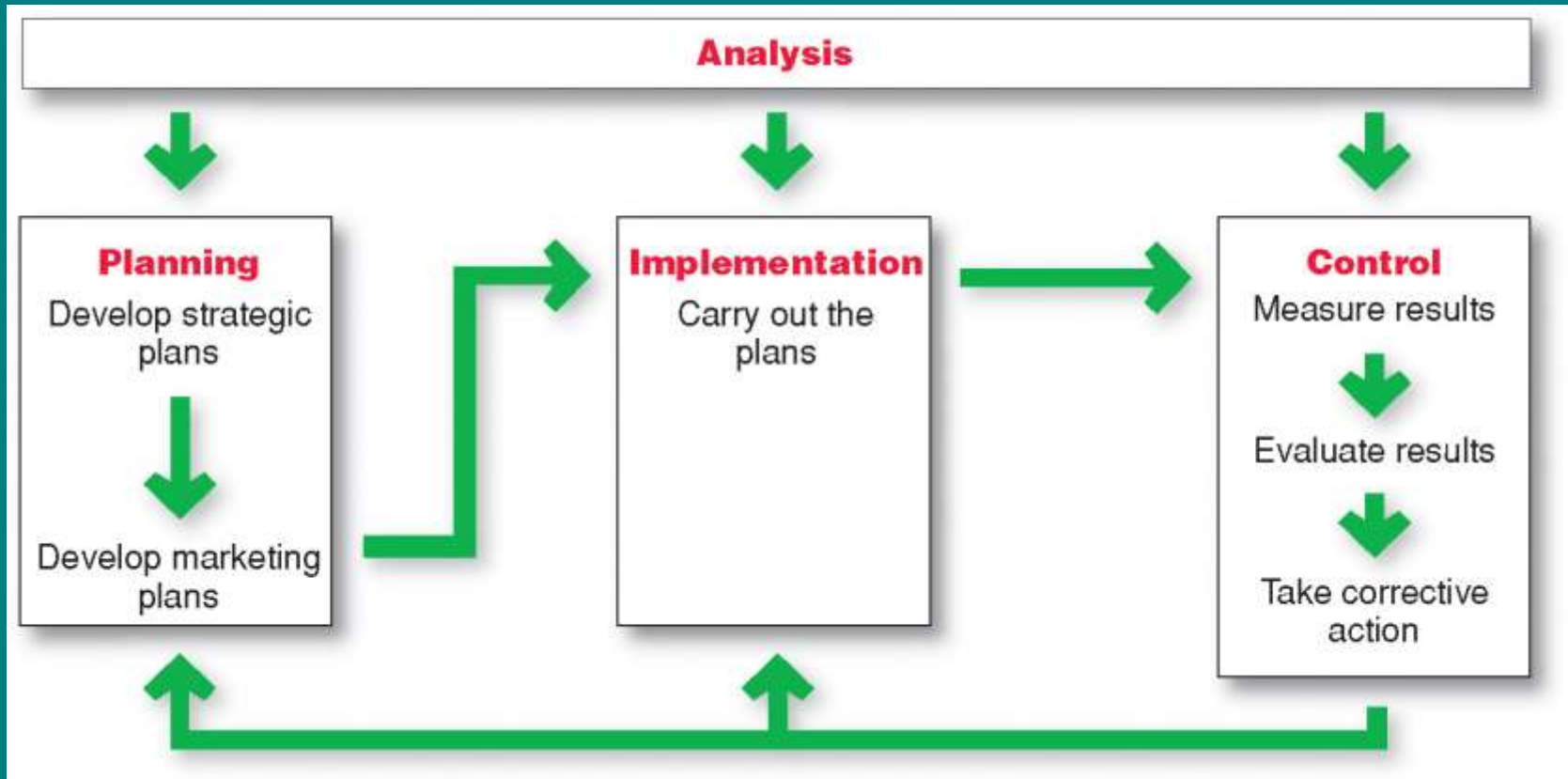
Societal marketing:
Make good marketing decisions by considering:
consumers' wants and long-term interests,
company's requirements,
society's long-run interests

Corporate Social Responsibility (CSR)

Customer value-driven marketing strategy



Managing the Marketing Effort



Planning Marketing

Partnering to Build Customer Relationships

Value delivery network is made up of the company, suppliers, distributors, and ultimately customers who partner with each other to improve performance of the entire system

E.g. McDonalds has 30000 stores in more than 100 countries and serves 52 million people daily. Their success comes from the close working relationship with suppliers and franchisers.

Marketing Strategy and the Marketing Mix



Marketing Strategy and the Marketing Mix

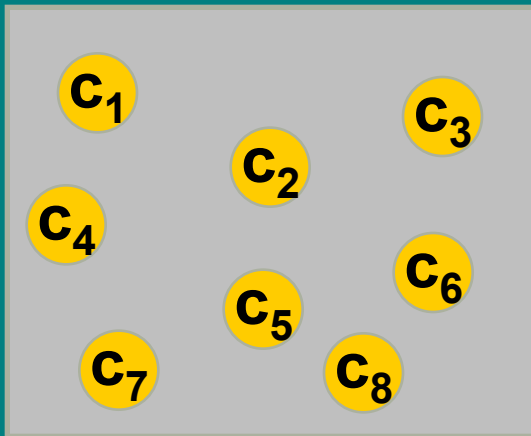
Market segmentation is the division of a market into distinct groups of buyers who have different needs, characteristics, or behavior and who might require separate products or marketing mixes

Market segment is a group of consumers who respond in a similar way to a given set of marketing efforts

Market Targeting

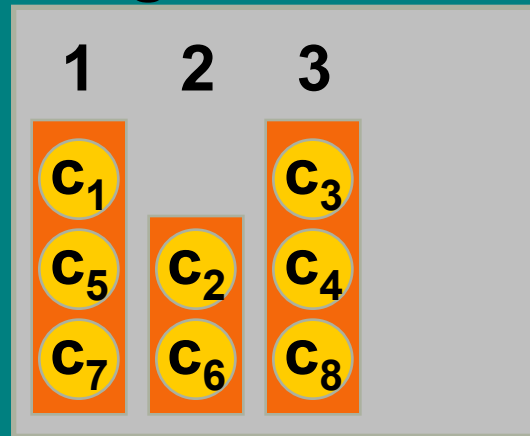
Selecting Target Market Segments

Market



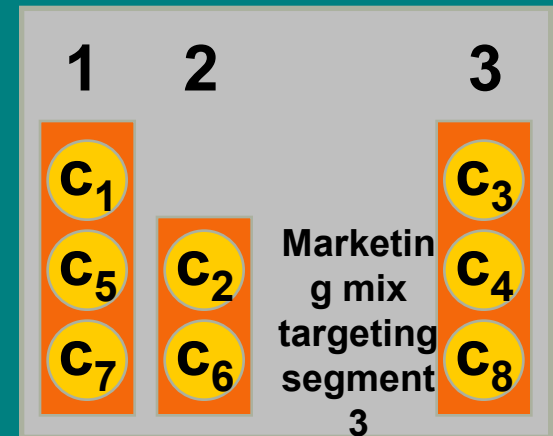
Study consumer characteristics

Segmentation



Consumers regrouped by similar characteristics

Targeting



Segment 3 is targeted because:
?

Marketing Strategy and the Marketing Mix

Market Targeting

Market targeting is the process of evaluating each market segment's attractiveness and selecting one or more segments to enter

Market niches specialize in serving customers segments that major competitors overlook or ignore.

e.g. health insurance for our furry

Marketing Strategy and the Marketing Mix

Market positioning is the arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the minds of the target consumer

Marketing Strategy and the Marketing Mix

- **Differentiation** begins the positioning process
- Whole marketing plan supports the positioning strategy

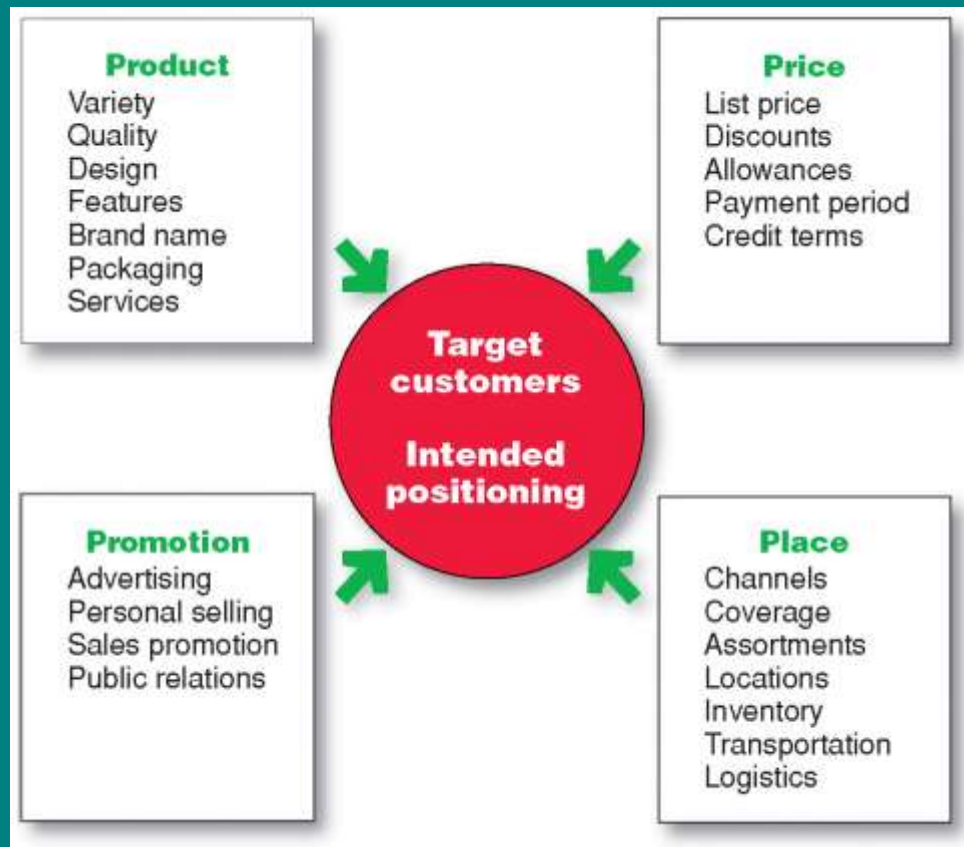
Marketing Strategy and the Marketing Mix

Developing an Integrated Marketing Mix

Marketing mix is the set of controllable tactical marketing tools—product, price, place, and promotion—that the firm blends to produce the response it wants in the target market

Marketing Strategy and the Marketing Mix

Developing an Integrated Marketing Mix



Marketing Strategy and the Marketing Mix

Developing an Integrated Marketing Mix *The four Ps*

- **Product** is the goods and services in combination that the company offers to the target market
- **Price** is the amount of money customers have to pay to obtain the product
- **Place** is the company activities that make the product available to target customers
- **Promotion** is the activities that communicate the merits of the product and persuade target customers to buy it

Managing the Marketing Effort

Market Planning—Parts of a Marketing Plan



Executive
summary

Marketing
situation

Threats and
opportunities

Objective
and issues

Marketing
strategy

Action
programs

Budgets

Controls

Managing the Marketing Effort

Marketing Implementation

Implementing is the process that turns marketing plans into marketing actions to accomplish **strategic marketing objectives**

- Successful implementation depends on how well the company **blends its people, organizational structure, decision and reward system, and company culture into a cohesive action plan** that supports its strategies

Managing the Marketing Effort

Marketing Control

Controlling

- evaluating of results
- taking of corrective action to achieve objectives
- Operating control
- Strategic control

Managing the Marketing Effort

Marketing Control

- **Controlling** is **measuring and evaluating** results and taking corrective action as needed
 - **Operating control** involves checking ongoing performance against the annual plan and taking corrective action when necessary.
 - **Strategic control** involves looking at whether the company's basic strategies are well matched to its opportunities. A major tool for such strategic control is a **marketing audit**.
 - This is a comprehensive, systematic, independent, and periodic examination of a company's environment, objectives, strategies, and activities to determine problem areas and opportunities.

Measuring and Managing Return on Marketing Investment

Return on Marketing Investment (Marketing ROI)



Return on marketing investment

- is **net return** from a marketing investment divided by the costs of the marketing investment.
- provides a measurement of the **profits generated** by investments in marketing activities.

Measuring and Managing Return on Marketing Investment

Return on Marketing Investment (ROI)

- **Return on marketing investment (ROI)** is the **net return** from a marketing investment divided by the costs of the marketing investment. Marketing ROI provides a measurement of the profits generated by investments in marketing activities.
- Class question: How would you measure the ROI for a football game ad, if it costs RMB10 million yuan to air a 30 second ad, but is able to reach 10 million people?

Tutorial

- **Group assignment new product briefing**
- Read the linked IBIS World report (*Online Consumer Electronics Sales in Australia*)
- **Working on assignment 2**